

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 3590

By: Lepak of the House

and

7 **Daniels** of the Senate

8
9 COMMITTEE SUBSTITUTE

10 An Act relating to revenue and taxation; amending 68
11 O.S. 2021, Section 2357.206, as amended by Section 1,
12 Chapter 49, O.S.L. 2022 (68 O.S. Supp. 2025, Section
13 2357.206), which relates to the Oklahoma Equal
14 Opportunity Education Scholarship Act; modifying
15 definition of eligible student; removing federal law
16 reference and replacing with Oklahoma authority;
17 modifying definition of low-income eligible student;
18 authorizing scholarship payments to be made via
19 secure electronic funds transfer; modifying
20 definition of annual revenue; requiring certain
21 annual reporting requirements to be disaggregated
22 into certain categories; and providing an effective
23 date.

24 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 2357.206, as
amended by Section 1, Chapter 49, O.S.L. 2022 (68 O.S. Supp. 2025,
Section 2357.206), is amended to read as follows:

1 Section 2357.206. A. This act shall be known and may be cited
2 as the "Oklahoma Equal Opportunity Education Scholarship Act".

3 B. 1. Except as provided in subsection G of this section,
4 after August 26, 2011, there shall be allowed a credit for any
5 taxpayer who makes a contribution to an eligible scholarship-
6 granting organization.

7 The credit shall be equal to fifty percent (50%) of the total
8 amount of contributions made during a taxable year, not to exceed
9 One Thousand Dollars (\$1,000.00) for single individuals, Two
10 Thousand Dollars (\$2,000.00) for married individuals filing jointly,
11 or One Hundred Thousand Dollars (\$100,000.00) for any taxpayer which
12 is a legal business entity including limited and general
13 partnerships, corporations, subchapter S corporations and limited
14 liability companies, plus any suspended credits pursuant to
15 subparagraph d of paragraph 2 of subsection I of this section;
16 provided, if total credits claimed pursuant to this paragraph exceed
17 the cap amount established pursuant to paragraphs 1 and 2 of
18 subsection E of this section, the credit shall be equal to the
19 taxpayer's proportionate share of the cap for the taxable year, as
20 determined pursuant to subsection I of this section.

21 2. For any taxpayer who makes a contribution to an eligible
22 scholarship-granting organization and makes a written commitment to
23 contribute the same amount for an additional year, the credit for
24 the first year and the additional year shall be equal to seventy-

1 five percent (75%) of the total amount of the contribution made
2 during a taxable year, not to exceed the amounts established in
3 paragraph 1 of this subsection for the taxable year in which the
4 credit provided in this subsection is claimed. The taxpayer shall
5 provide evidence of the written commitment to the Oklahoma Tax
6 Commission at the time of filing the refund claim.

7 3. The credits authorized pursuant to the provisions of this
8 subsection shall be allocable to the partners, shareholders,
9 members, or other equity owners of a taxpayer that is authorized to
10 be treated as a partnership for purposes of federal income tax
11 reporting for the taxable year for which the tax credits authorized
12 by this subsection are claimed on the applicable return, together
13 with required schedules, forms or reports of the partners,
14 shareholders, members, or other equity owners of the taxpayer. Tax
15 credits which are allocated to such equity owners shall only be
16 limited in amount for the income tax return of a natural person or
17 persons based upon the limitation of the total credit amount to the
18 entity from which the tax credits have been allocated and shall not
19 be limited to One Thousand Dollars (\$1,000.00) for single
20 individuals or limited to Two Thousand Dollars (\$2,000.00) for
21 married persons filing a joint return.

22 4. On or before ~~April 30, 2024~~ December 31, 2029, and once
23 every ~~two (2)~~ four (4) years thereafter, such scholarship-granting
24 organization and educational improvement grant organization shall

1 electronically submit to the Oklahoma Tax Commission, the Governor,
2 President Pro Tempore of the Senate, the Speaker of the House of
3 Representatives, and the chairs and vice chairs of the education
4 committees of the Senate and House of Representatives an audited
5 financial statement for the organization along with information
6 detailing the benefits, successes, or failures of the program, and
7 make publicly available on its website the financial statement and
8 information submitted pursuant to this paragraph.

9 C. 1. Except as provided in subsection G of this section,
10 after August 26, 2011, there shall be allowed a credit for any
11 taxpayer who makes a contribution to an eligible educational
12 improvement grant organization. Except as otherwise provided by
13 paragraph 2 of this subsection, the credit shall be equal to fifty
14 percent (50%) of the total amount of contributions made during a
15 taxable year, not to exceed One Thousand Dollars (\$1,000.00) for
16 single individuals, Two Thousand Dollars (\$2,000.00) for married
17 individuals filing jointly, or One Hundred Thousand Dollars
18 (\$100,000.00) for any taxpayer which is a legal business entity
19 including limited and general partnerships, corporations, subchapter
20 S corporations and limited liability companies, plus any suspended
21 credits pursuant to subparagraph d of paragraph 2 of subsection I of
22 this section; provided, if total credits claimed pursuant to this
23 paragraph exceed the cap amount established pursuant to paragraphs 3
24 and 4 of subsection E of this section, the credit shall be equal to

1 the taxpayer's proportionate share of the cap for the taxable year,
2 as determined pursuant to subsection I of this section.

3 2. For any taxpayer who makes a contribution to an eligible
4 educational improvement grant organization and makes a written
5 commitment to contribute the same amount for an additional year, the
6 credit for the first year and the additional year shall be equal to
7 seventy-five percent (75%) of the total amount of the contribution
8 made during a taxable year, not to exceed the cap amount established
9 in paragraphs 3 and 4 of subsection E of this section for the
10 taxable year in which the credit provided in this paragraph is
11 claimed; provided, if total credits claimed pursuant to this
12 paragraph exceed the cap established pursuant to paragraphs 3 and 4
13 of subsection E of this section, the credit shall be equal to the
14 taxpayer's proportionate share of the cap for the taxable year, as
15 determined pursuant to subsection I of this section. The taxpayer
16 shall provide evidence of the written commitment to the Oklahoma Tax
17 Commission at the time of filing the refund claim.

18 3. The credits authorized pursuant to the provisions of this
19 subsection shall be allocable to the partners, shareholders,
20 members, or other equity owners of a taxpayer that is authorized to
21 be treated as a partnership for purposes of federal income tax
22 reporting for the taxable year for which the tax credits authorized
23 by this subsection are claimed on the applicable return, together
24 with required schedules, forms, or reports of the partners,

1 shareholders, members, or other equity owners of the taxpayer. Tax
2 credits which are allocated to such equity owners shall only be
3 limited in amount for the income tax return of a natural person or
4 persons based upon the limitation of the total credit amount to the
5 entity from which the tax credits have been allocated and shall not
6 be limited to One Thousand Dollars (\$1,000.00) for single
7 individuals or limited to Two Thousand Dollars (\$2,000.00) for
8 married persons filing a joint return.

9 D. 1. For contributions made on or after January 1, 2022,
10 there shall be allowed a credit for any taxpayer who makes a
11 contribution to an eligible public school foundation or public
12 school district. Except as otherwise provided by paragraph 2 of
13 this subsection, the credit shall be equal to fifty percent (50%) of
14 the total amount of contributions made during a taxable year, not to
15 exceed One Thousand Dollars (\$1,000.00) for single individuals, Two
16 Thousand Dollars (\$2,000.00) for married individuals filing jointly,
17 or One Hundred Thousand Dollars (\$100,000.00) for any taxpayer which
18 is a legal business entity including limited and general
19 partnerships, corporations, subchapter S corporations and limited
20 liability companies; provided, if total credits claimed pursuant to
21 this paragraph exceed the cap amount established pursuant to
22 paragraph 4 of subsection E of this section, the credit shall be
23 equal to the taxpayer's proportionate share of the cap for the
24

1 taxable year, as determined pursuant to subsection I of this
2 section.

3 2. Except as otherwise provided by paragraph 1 of this
4 subsection, for any taxpayer who makes a contribution to an eligible
5 public school foundation or public school district and makes a
6 written commitment to contribute the same amount for an additional
7 year, the credit for the first year and the additional year shall be
8 equal to seventy-five percent (75%) of the total amount of the
9 contribution made during a taxable year, not to exceed the cap
10 amount established in paragraph 4 of subsection E of this section
11 for the taxable year in which the credit provided in this paragraph
12 is claimed. The taxpayer shall provide evidence of the written
13 commitment to the Oklahoma Tax Commission at the time of filing the
14 refund claim; provided, if total credits claimed pursuant to this
15 paragraph exceed the cap amount established pursuant to paragraph 4
16 of subsection E of this section, the credit shall be equal to the
17 taxpayer's proportionate share of the cap for the taxable year, as
18 determined pursuant to subsection I of this section.

19 3. The credits authorized pursuant to the provisions of this
20 subsection shall be allocable to the partners, shareholders,
21 members, or other equity owners of a taxpayer that is authorized to
22 be treated as a partnership for purposes of federal income tax
23 reporting for the taxable year for which the tax credits authorized
24 by this subsection are claimed on the applicable return, together

1 with required schedules, forms, or reports of the partners,
2 shareholders, members, or other equity owners of the taxpayer. Tax
3 credits which are allocated to such equity owners shall only be
4 limited in amount for the income tax return of a natural person or
5 persons based upon the limitation of the total credit amount to the
6 entity from which the tax credits have been allocated and shall not
7 be limited to One Thousand Dollars (\$1,000.00) for single
8 individuals or limited to Two Thousand Dollars (\$2,000.00) for
9 married persons filing a joint return.

10 4. On or before ~~April 30, 2024~~ December 31, 2029, and once
11 every four (4) years thereafter, such eligible public school
12 foundation and public school district shall submit to the Oklahoma
13 Tax Commission, the Governor, President Pro Tempore of the Senate,
14 and the Speaker of the House of Representatives an audited financial
15 statement for the organization along with information detailing the
16 benefits, successes, or failures of the programs.

17 E. Except as otherwise provided pursuant to subsection I of
18 this section:

19 1. The total credits authorized pursuant to subsection B of
20 this section for all taxpayers for tax years 2017 through 2021 shall
21 not exceed Three Million Five Hundred Thousand Dollars
22 (\$3,500,000.00) annually;

23 2. The total credits authorized pursuant to subsection B of
24 this section for all taxpayers for tax years 2022 and subsequent tax

1 years shall not exceed Twenty-five Million Dollars (\$25,000,000.00)
2 annually;

3 3. The total credits authorized pursuant to subsection C of
4 this section for all taxpayers for tax years 2017 through 2021 shall
5 not exceed One Million Five Hundred Thousand Dollars (\$1,500,000.00)
6 annually;

7 4. The total credits authorized pursuant to subsections C and D
8 of this section for all taxpayers for tax year 2022 and subsequent
9 tax years shall not exceed Twenty-five Million Dollars
10 (\$25,000,000.00) annually. In addition to the cap amount prescribed
11 by this paragraph, the credit amount shall also be limited to Two
12 Hundred Thousand Dollars (\$200,000.00) of credits per public school
13 district annually; and

14 5. The cap on total credits provided for in this subsection
15 shall be allocated by the Tax Commission as provided in subsection I
16 of this section.

17 F. For credits claimed for eligible contributions made during
18 tax year 2014 and thereafter, a credit shall not be allowed by the
19 Oklahoma Tax Commission for contributions made to a scholarship-
20 granting organization or an educational improvement grant
21 organization if that organization's percentage of funds actually
22 awarded is less than ninety percent (90%). For purposes of this
23 section, the "percentage of funds actually awarded" shall be
24 determined by dividing the total amount of funds actually awarded as

1 educational scholarships or educational improvement grants over the
2 most recent twenty-four (24) months by the total amount available to
3 award as educational scholarships or educational improvement grants
4 over the most recent twenty-four (24) months.

5 G. Any tax credits which are earned by a taxpayer pursuant to
6 this section during the time period beginning August 26, 2011,
7 through December 31, 2012, may not be claimed for any period prior
8 to the taxable year beginning January 1, 2013. No credits which
9 accrue during the time period beginning August 26, 2011, through
10 December 31, 2012, may be used to file an amended tax return for any
11 taxable year prior to the taxable year beginning January 1, 2013.

12 H. As used in this section:

13 1. "Eligible student" means a child of school age who is
14 lawfully present in the United States and who is a member of a
15 household in which the total annual verified household adjusted
16 gross income during the preceding tax year does not exceed an amount
17 equal to ~~three hundred percent (300%)~~ five hundred fifty-five
18 percent (555%) of the ~~income standard used to qualify for a free or~~
19 ~~reduced-price school lunch~~ federal poverty level, as published
20 annually by the United States Department of Health and Human
21 Services or who, during the immediately preceding school year,
22 attended or, by virtue of the location of such student's place of
23 residence, was eligible to attend a public school in this state
24 which has been identified ~~for school improvement~~ as having a letter

1 grade of "C", "D", or "F" as determined by the State Board of
2 Education pursuant to the requirements of the No Child Left Behind
3 Act of 2001, P.L. No. 107-110 Section 1210.545 of Title 70 of the
4 Oklahoma Statutes. Once a student has received an educational
5 scholarship, as defined in paragraph 3 of this subsection, the
6 student and any siblings who are members of the same household shall
7 remain eligible until they graduate from high school or reach
8 twenty-one (21) years of age, whichever occurs first;

9 2. "Eligible special needs student" means a child who has been
10 provided services under an Individualized Family Service Plan
11 through the SoonerStart program and during transition was evaluated
12 and determined to be eligible for school district services, a child
13 of school age who has attended public school in our state with an
14 individualized education program pursuant to the Individuals With
15 Disabilities Education Act, 20 U.S.C.A., Section 1400 et seq., or a
16 child who has been diagnosed by a clinical professional as having a
17 significant disability that will affect learning and who has been
18 approved by the board of a scholarship-granting organization;

19 3. "Educational scholarships" means:

20 a. scholarships to an eligible student of up to Five
21 Thousand Dollars (\$5,000.00) or eighty percent (80%)
22 of the statewide annual average per-pupil expenditure
23 as determined by the National Center for Education
24 Statistics, U.S. Department of Education, whichever is

- greater, to cover all or part of the tuition, fees, and transportation costs of a qualified school which is accredited by the State Board of Education or an accrediting association approved by the Board pursuant to Section 3-104 of Title 70 of the Oklahoma Statutes,
- b. scholarships to an eligible student of up to Five Thousand Dollars (\$5,000.00) or eighty percent (80%) of the statewide annual average per-pupil expenditure as determined by the National Center for Education Statistics, U.S. Department of Education, whichever is greater, to cover the educational costs of a qualified school which does not charge tuition, which enrolls special populations of students, and which is accredited by the State Board of Education or an accrediting association approved by the Board pursuant to Section 3-104 of Title 70 of the Oklahoma Statutes, or
- c. scholarships to an eligible special needs student of up to Twenty-five Thousand Dollars (\$25,000.00) to cover all or part of the tuition, fees, and transportation costs of a qualified school for eligible special needs students which is accredited by the State Board of Education or an accrediting

1 association approved by the Board pursuant to Section
2 3-104 of Title 70 of the Oklahoma Statutes;

3 4. "Low-income eligible student" means an eligible student or
4 eligible special needs student who ~~qualifies for a free or reduced~~
5 ~~price lunch~~ is a member of a household with a verified household
6 adjusted gross income that does not exceed one hundred eighty-five
7 percent (185%) of the federal poverty level, as published annually
8 by the United States Department of Health and Human Services;

9 5. "Qualified school" means an early childhood, elementary, or
10 secondary private school in this state including schools which
11 provide special educational programs for three-year-olds or
12 prekindergarten educational programs for four-year-olds, which:

- 13 a. is accredited by the State Board of Education or an
14 accrediting association approved by the Board pursuant
15 to Section 3-104 of Title 70 of the Oklahoma Statutes,
- 16 b. is in compliance with all applicable health and safety
17 laws and codes,
- 18 c. has a stated policy against discrimination in
19 admissions on the basis of race, color, national
20 origin, or disability, and
- 21 d. ensures academic accountability to parents and
22 guardians of students through regular progress
23 reports;

1 6. "Qualified school for eligible special needs students" means
2 an early childhood, elementary, or secondary private school in a
3 county in this state including schools which provide special
4 educational programs for three-year-olds or prekindergarten
5 educational programs for four-year-olds;

6 7. "Scholarship-granting organization" means an organization
7 which:

- 8 a. is a nonprofit entity exempt from taxation pursuant to
9 the provisions of the Internal Revenue Code, 26
10 U.S.C., Section 501(c)(3),
- 11 b. distributes periodic scholarship payments as checks
12 made out to an eligible student's or eligible special
13 needs student's parent or guardian and mailed to the
14 qualified school where the student is enrolled or by
15 secure electronic funds transfer, including, but not
16 limited to, automated clearinghouse transfer, to an
17 account of the qualified school designated to receive
18 scholarship payments on behalf of the eligible
19 student,
- 20 c. spends no more than ten percent (10%) of its annual
21 revenue on expenditures other than educational
22 scholarships as defined in paragraph 3 of this
23 subsection,
- 24

- 1 d. spends each year a portion of its expenditures on
2 educational scholarships for low-income eligible
3 students, as defined in paragraph 4 of this
4 subsection, in an amount equal to or greater than the
5 percentage of ~~low-income eligible~~ students in the
6 state whose household adjusted gross income does not
7 exceed one hundred eighty-five percent (185%) of the
8 federal poverty level,
- 9 e. ensures that scholarships are portable during the
10 school year and can be used at any qualified school
11 that accepts the eligible student or at any qualified
12 school for special needs students that accepts the
13 eligible special needs student,
- 14 f. registers with the Oklahoma Tax Commission as a
15 scholarship-granting organization, and
- 16 g. has policies in place to:
- 17 (1) carry out criminal background checks on all
18 employees and board members to ensure that no
19 individual is involved with the organization who
20 might reasonably pose a risk to the appropriate
21 use of contributed funds, and
- 22 (2) maintain full and accurate records with respect
23 to the receipt of contributions and expenditures
24 of those contributions and supply such records

1 and any other documentation required by the Tax
2 Commission to demonstrate financial
3 accountability;

4 8. "Annual revenue" means the total amount or value of
5 contributions received by an organization from taxpayers awarded
6 credits during the organization's fiscal year and all amounts earned
7 from interest or investments. For purposes of determining
8 compliance with the limitations on administrative expenditures, only
9 contributions for which a tax credit is allowed pursuant to this
10 section and received during the applicable fiscal year shall be
11 included in the calculation, and any interest, dividends, or other
12 investment earnings or income derived from such contributions shall
13 be excluded;

14 9. "Public school" means public schools as defined in Section
15 1-106 of Title 70 of the Oklahoma Statutes;

16 10. "Eligible public school district" means any public school;

17 11. "Early childhood education program" means a special
18 educational program for eligible special needs students who are
19 three (3) years of age or a prekindergarten educational program
20 provided to children who are at least four (4) years of age but not
21 more than five (5) years of age on or before September 1;

22 12. "Innovative educational program" means an advanced academic
23 or academic improvement program that is not part of the regular
24 coursework of a public school but that enhances the curriculum or

1 academic program of the school or provides early childhood education
2 programs to students;

3 13. "Educational improvement grant" means a grant to an
4 eligible public school to implement an innovative educational
5 program for students including the ability for multiple public
6 schools to make an application and be awarded a grant to jointly
7 provide an innovative educational program;

8 14. "Educational improvement grant organization" means an
9 organization which:

- 10 a. is a nonprofit entity exempt from taxation pursuant to
11 the provisions of the Internal Revenue Code, 26
12 U.S.C., Section 501(c)(3), and
13 b. contributes at least ninety percent (90%) of its
14 annual receipts as grants to eligible schools for
15 innovative educational programs. For purposes of this
16 subparagraph, an educational improvement grant
17 organization contributes its annual cash receipts when
18 it expends or otherwise irrevocably encumbers those
19 funds for expenditure during the then current fiscal
20 year of the organization or during the next succeeding
21 fiscal year of the organization; and

22 15. "Eligible public school foundation" means a nonprofit
23 entity formed pursuant to the laws of this state and is exempt from
24 federal income taxation pursuant to either Section 501(c)(3) or

1 Section 509(a) of the Internal Revenue Code of 1986, as amended.

2 Each public school foundation must be approved by the local board of
3 education prior to accepting qualifying donations.

4 I. Total credits authorized by this section shall be allocated
5 as follows:

6 1. By January 10 of the year immediately following each
7 calendar year, a scholarship-granting organization, an educational
8 improvement grant organization, an eligible public school
9 foundation, or public school district which accepts contributions
10 pursuant to this section shall provide electronically to the Tax
11 Commission information on each contribution accepted during such
12 taxable year. At least once each taxable year, the entity making
13 the report shall notify each contributor that Oklahoma law provides
14 for a total, statewide cap on the amount of income tax credits
15 allowed annually;

16 2. a. If the Tax Commission determines the total combined
17 credits claimed for contributions made to scholarship-
18 granting organizations during the most recently
19 completed calendar year by all taxpayers are in excess
20 of the statewide cap amount provided in paragraphs 1
21 and 2 of subsection E of this section, the Tax
22 Commission shall first allocate any amount of credits
23 not claimed for contributions made to organizations
24 authorized pursuant to subsections C and D of this

1 section, then shall determine the percentage of the
2 contribution which establishes the proportionate share
3 of the credit which may be claimed by any taxpayer so
4 that the total maximum credits authorized by this
5 section are not exceeded.

6 b. If the Tax Commission determines the total combined
7 credits claimed for contributions made to
8 organizations authorized pursuant to subsections C and
9 D of this section during the most recently completed
10 calendar year by all taxpayers are in excess of the
11 statewide cap amount provided in paragraphs 3 and 4 of
12 subsection E of this section, the Tax Commission shall
13 first allocate any amount of credits not claimed for
14 contributions made to scholarship-granting
15 organizations, then shall determine the percentage of
16 the contribution which establishes the proportionate
17 share of the credit which may be claimed by any
18 taxpayer so that the maximum credits authorized by
19 this section are not exceeded.

20 c. If the Tax Commission determines the total combined
21 credits claimed for contributions made to
22 organizations authorized pursuant to subsections C and
23 D of this section during the most recently completed
24 calendar year by all taxpayers are in excess of the

1 per public school district cap pursuant to paragraph 4
2 of subsection E of this section, the Tax Commission
3 shall first allocate any amount of credits not claimed
4 for contributions made to other organizations
5 authorized pursuant to subsections C and D of this
6 section, then shall determine the percentage of the
7 contribution which establishes the proportionate share
8 of the credit which may be claimed by any taxpayer so
9 that the maximum credits authorized by this section
10 are not exceeded.

11 d. Beginning for tax year 2016, credits earned, but not
12 allowed due to the application of statewide caps
13 provided in subsection E of this section will be
14 considered suspended and authorized to be used in the
15 next immediate tax year and applied to the next year's
16 statewide cap; and

17 3. The Tax Commission shall publish the percentage of the
18 contribution which may be claimed as a credit by contributors for
19 the most recently completed calendar year on the Tax Commission
20 website no later than February 15 of each calendar year for
21 contributions made the previous year. Each organization authorized
22 pursuant to subsections B, C, and D of this section shall notify
23 contributors of that amount annually.

1 J. No tax credits authorized by this section shall be used to
2 reduce the tax liability of the taxpayer to less than zero (0).

3 K. Any credits authorized by this section allowed but not used
4 in any tax year may be carried over, in order, to each of the three
5 (3) years following the year of qualification.

6 L. 1. In order to qualify under this section, each
7 organization authorized pursuant to subsections C and D of this
8 section shall submit an application with information to the Oklahoma
9 Tax Commission on a form prescribed by the Tax Commission that:

10 a. enables the Tax Commission to confirm that the
11 organization is a nonprofit entity exempt from
12 taxation pursuant to the provisions of the Internal
13 Revenue Code, 26 U.S.C., Section 501(c)(3) or Section
14 509(a), and

15 b. describes the proposed innovative educational program
16 or programs supported by the organization.

17 2. The Tax Commission shall review and approve or disapprove
18 the application, in consultation with the State Department of
19 Education.

20 3. In order to maintain eligibility under this section, an
21 organization authorized pursuant to subsections C and D of this
22 section shall annually report the following information to the Tax
23 Commission and publish on its website by September 1 of each year:
24

- a. the name of the innovative educational program or programs and the total amount of the grant or grants made to those programs during the immediately preceding school year,
- b. a description of how each grant was utilized during the immediately preceding school year and a description of any demonstrated or expected innovative educational improvements,
- c. the names of the public school and school districts where innovative educational programs that received grants during the immediately preceding school year were implemented,
- d. where the organization collects information on a county-by-county basis, and
- e. the total number and total amount of grants made during the immediately preceding school year for innovative educational programs at public school by each county in which the organization made grants.

4. The information required under paragraph 3 of this subsection shall be submitted on a form provided by the Tax Commission. No later than May 1 of each year, the Tax Commission shall annually distribute sample forms together with the forms on which the reports are required to be made to each approved organization.

1 5. The Tax Commission shall not require any other information
2 be provided by an organization, except as expressly authorized in
3 this section.

4 M. 1. Beginning in 2023 for the 2022-2023 academic year, in
5 order to maintain registration, a scholarship-granting organization
6 shall annually report to the Tax Commission by September 1 of each
7 year the following information regarding the educational
8 scholarships funded by the organization in the previous academic
9 year:

- 10 a. the name and address of the scholarship-granting
11 organization,
- 12 b. the names of the qualifying schools that received
13 funding for educational scholarships, the total amount
14 of funds paid to each qualifying school, and the total
15 number of scholarship recipients enrolled in each
16 qualifying school,
- 17 c. the total number and total dollar amount of
18 contributions received during the previous academic
19 year,
- 20 d. the total number and total dollar amount of
21 educational scholarships awarded and funded during the
22 previous academic year,
- 23 e. the total number, total dollar amount, and percentage
24 of educational scholarships awarded and funded during

1 the previous academic year disaggregated into the
2 following categories:

- 3 (1) ~~low-income~~ eligible students, as determined by
4 verified household adjusted gross income of five
5 hundred fifty-five percent (555%) of the federal
6 poverty level, as published by the United States
7 Department of Health and Human Services,
- 8 (2) students who during the immediately preceding
9 school year attended or who were eligible by
10 virtue of the residence of the student to attend
11 a public school in the state which was identified
12 ~~for school improvement~~ as having a letter grade
13 of "C", "D", or "F" by the State Board of
14 Education pursuant to Section 1210.545 of Title
15 70 of the Oklahoma Statutes,
- 16 (3) eligible special needs students, and
- 17 (4) students who were first-time recipients of a
18 scholarship including information about the type
19 of public or private school the student was
20 enrolled in during the entire previous academic
21 year,

22 f. the percentage of annual revenue received by the
23 organization from donations which qualify for tax
24

- credits pursuant to this section which was not expended on scholarships,
- g. disaggregated data reported under this subsection shall be redacted if reporting would allow for identification of specific children, and shall be reported in accordance with the Student Data Accessibility, Transparency and Accountability Act of 2013, ~~division~~ subparagraph b of ~~subparagraph~~ paragraph 2 of subsection C of Section 3-168 of Title 70 of the Oklahoma Statutes, and the Family Educational Rights and Privacy Act of 1974 (FERPA), 20 U.S.C., Section 1232g, and
- h. the percentage of the total amount of education scholarship expenditures spent on low-income eligible students, as determined by verified household adjusted gross income band as less than or equal to one hundred eighty-five percent (185%) of the federal poverty level.

2. The Tax Commission shall make available on its website:

- a. the information submitted by the scholarship-granting organization pursuant to paragraph 1 of this subsection,
- b. a list of participating schools, and

1 c. all other application information submitted to the Tax
2 Commission by a scholarship-granting organization,
3 except that information which would violate the
4 privacy of an individual.

5 3. A scholarship-granting organization shall annually submit
6 verification to the Tax Commission that the organization still meets
7 the criteria set forth in paragraph 7 of subsection H of this
8 section.

9 N. Contributions made pursuant to subsections B, C, and D of
10 this section shall not be used by the Legislature to reduce the
11 amount appropriated for the financial support of public schools.

12 O. In consultation with the State Department of Education, the
13 Tax Commission shall promulgate rules necessary to implement the
14 Oklahoma Equal Opportunity Education Scholarship Act. The rules
15 shall include procedures for the registration of a scholarship-
16 granting organization, an educational improvement grant
17 organization, a public school foundation, or public school district
18 for purposes of determining if the organization meets the
19 requirements of the Oklahoma Equal Opportunity Education Scholarship
20 Act or for the revocation of the registration of an organization, if
21 applicable, and for notice as required in subsection I of this
22 section.

SECTION 2. This act shall become effective January 1, 2027.

COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
03/05/2026 - DO PASS, As Amended and Coauthored.